INVESTING

THE CASE FOR COMMODITIES

Commodities offer great potential to become a separate asset class for savvy investors and should be considered if you are an experienced equity investor looking for a hedging tool

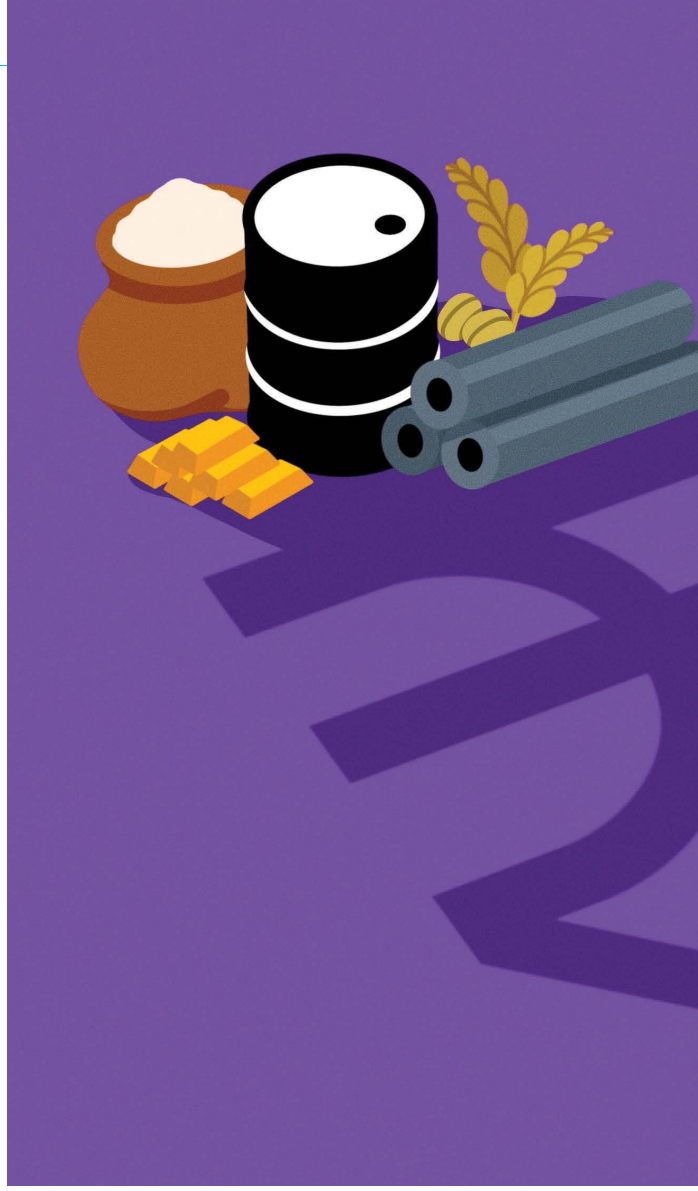


Illustration by SIDDHANT JUMDE

Mention commodity investing and chances are one would think of it as risky and complicated. However, unlike stock investing wherein a lot goes into researching on companies, sectors and financials, commodity investing is mostly based on demand and supply concerns. Retail investors with a well-diversified portfolio and stomach for risk can consider commodity investing as a hedging tool. From a portfolio point of view, historically, commodity pricing has been less volatile compared to equity and bonds, providing an efficient portfolio diversification option.

In simple terms, a commodity is an essential good used in trade and may be exchanged for other items. Items like cereals, gold, oil and natural gas are classic examples of commodities (see *The Commodities Universe*). Commodities can be a significant way for investors to diversify their portfolios outside standard investments. One can have physical trading in these goods, but mostly it happens through futures contracts, where you agree to buy or sell a commodity for a certain price at a specified date.

The prime reason to consider commodities is to diversify your portfolio and provide an inflation hedge. Do remember that commodities are also volatile, and trading in them could be complex as they are not easy to predict and often depend on government regulations and laws. Most often, commodities traders bet on how a commodity's price will move. If they think the price of a commodity will go up, they buy futures, or go long. If they think the price will drop, they sell the futures, or go short. Trading in commodities is common on the futures markets in which the agreements specify the terms of delivery of an asset for a specified date in the future.

THE COMMODITIES UNIVERSE

Metals and materials	**Base metals:** Aluminium, copper, nickel, zinc, tin **Bulk commodities:** Iron ore, coking coal, bauxite, steel **Others:** Soda ash, chemicals, rare earth metals
Agriculture	**Grains:** Rice, Basmati rice, wheat, maize, jeera **Oil and oilseeds:** Castor seeds, soy seeds, castor oil, refined soy oil, soymeal, crude palm oil, groundnut oil, mustard seed, cottonseed, etc. **Spices:** Pepper, red chilli, jeera, turmeric and cardamom **Pulses:** Chana, urad, yellow peas, tur dal
Energy	Crude oil, natural gas, Brent crude, thermal coal, alternate energy
Precious metals and materials	Gold, silver, platinum and palladium
Services	Oil services, mining services and others